

So now, let us assume that our taxable income is Rs. 7 lac. We would think that we fall under the 3rd slab and have to pay tax at 20% on the entire Rs. 7 lac i.e. Rs. 1.4 lac. However, that is not how it works. In the sum of Rs. 7 lac, first Rs. 2.5 lac fall in the first slab, another Rs. 2.5 lac all in the second slab, and the rest of the Rs. 2 lac fall in the 3rd slab. Now the tax will be levied on this basis.

We have to pay 'nil' tax for the first slab; 5% of Rs. 2.5 lac i.e. Rs.12,500 in the second slab; and 20% for the rest Rs. 2 lac i.e. Rs. 40,000. So, the total tax comes out to be $(2,50,000 \times 0\%) + (2,50,000 \times 5\%) + (2,00,000 \times 20\%) = 0 + 12,500 + 40,000 = 62,500$. Notice that, in a flat tax system, we were to pay Rs. 1.4 lac as taxes. While in the progressive tax system, we have to pay only Rs. 62,500. We need to add a cess of 4% after this.

